

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 3704

By: Crosswhite Hader

COMMITTEE SUBSTITUTE

An Act relating to revenue and taxation; electing the State of Oklahoma to participate in the federal income tax credit for individual contributions to scholarship granting organizations; directing the Governor to execute required certification and agreements as required by the United States Department of the Treasury; requiring the Oklahoma Tax Commission to identify certain scholarship granting organizations and provide list to the Secretary of the Treasury; requiring the Oklahoma Tax Commission to promulgate necessary rules, forms, and procedures; prohibiting the promulgation of rules that exceed certain requirements; providing for election to participate in the federal income tax credit to remain in effect for certain period; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2357.901 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. The State of Oklahoma hereby elects to participate, to the fullest extent permitted by federal law, in the federal income tax

1 credit for individual contributions to Scholarship Granting
2 Organizations, as established in Section 25F of the Internal Revenue
3 Code of 1986, as added by Section 70411 of Pub. L. No. 119-21, or
4 any successor provision.

5 B. The Governor of this state is directed and authorized to:

6 1. Execute and submit any election, certification, agreement,
7 or other instrument required by the United States Department of the
8 Treasury or the Internal Revenue Service for a state to be treated
9 as a "covered state" for purposes of the federal credit for
10 contributions to scholarship granting organizations;

11 2. Designate, consistent with federal law, the Oklahoma Tax
12 Commission as the state agency responsible for:

13 a. identifying and registering Scholarship Granting
14 Organizations within this state that meet the
15 requirements of Section 25F of the Internal Revenue
16 Code of 1986 and related federal guidance,

17 b. maintaining and providing to the Secretary of the
18 Treasury a list of Scholarship Granting Organizations
19 identified in subparagraph a of this paragraph that
20 are located in this state, and

21 c. performing any reporting, recordkeeping, or compliance
22 functions specifically required of covered states
23 under Pub. L. No. 119-21 and applicable federal
24 regulations; and

1 3. Take any other action and execute any other document that is
2 required to implement and maintain the state's election to
3 participate in the federal tax credit for contributions to
4 Scholarship Granting Organizations.

5 C. The Oklahoma Tax Commission shall:

6 1. Coordinate, to the extent necessary, the administration of
7 this section with the existing income tax credit provided in Section
8 2357.206 of Title 68 of the Oklahoma Statutes for contributions to
9 scholarship granting organizations and related entities that also
10 comply with Section 25F of the Internal Revenue Code, as added by
11 Pub. L. 119-21;

12 2. Promulgate such rules, forms, and procedures, subject to
13 subsection D of this act as are necessary to:

14 a. register Scholarship Granting Organizations on a list
15 and in a format indicated by the Department of
16 Treasury for purposes of this section,

17 b. collect and transmit information only as required by
18 the Secretary of the Treasury or the Internal Revenue
19 Service concerning qualified contributions, qualified
20 organizations, and scholarship awards, and

21 c. inform taxpayers and Scholarship Granting
22 Organizations of the interaction between the federal
23 credit under Section 25F of the Internal Revenue Code
24 of 1986 and any state-level income tax credit allowed

1 under Section 2357.206 of Title 68 of the Oklahoma
2 Statutes, including any reduction in the federal
3 credit on account of a state credit for the same
4 contribution.

5 D. No state department, division, or any other agency,
6 including the Oklahoma Tax Commission and Governor, shall promulgate
7 any rules or regulations that exceed requirements of the applicable
8 federal law or rules and regulations in implementing this act.

9 E. The election made pursuant to subsection A of this section
10 shall remain in effect for all tax years for which federal law
11 permits state participation in the credit program, unless repealed
12 by an act of the Legislature or unless federal law is amended to
13 terminate participating-state status.

14 SECTION 2. This act shall become effective November 1, 2026.

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